

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 08-03

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FEDERAL MARITIME COM.

MAHER TERMINALS, LLC

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**ERRATA
TO
MAHER'S INITIAL BRIEF AND PROPOSED FINDINGS OF FACT AND
SUPPORTING EVIDENCE FILED AND SERVED ON OCTOBER 7, 2011**

Maher Terminals, LLC ("Maher"), by and through undersigned counsel, respectfully submits this Errata to correct inadvertent typographical errors and inaccurate cross-references to Appendix page numbers in Maher's Initial Brief, Proposed Findings of Fact, and Supporting Evidence, filed and served in this proceeding on October 7, 2011. Appending Maher's submissions with this Errata will avoid unnecessary confusion over the text and appendix cross-references corrected herein and improve the clarity of the record.

The following three typographical errors have come to Maher's attention in the Initial Brief:

- Page 26, first paragraph, line 8. the quote from 46 U.S.C. § 40301 contains an errant internal quotation mark after the ellipses and before the work "fix"

- Page 42, first sentence following the block quote, the word “recommended” should be “reported,” to read, “In response to questions about her forgoing revisions to the Richardson Report reported by Mr. Ragan . . . ”
- Page 72, second paragraph, the last sentence contains a misplaced closing quotation mark, and should read, “But, in the end, PANYNJ’s Borrone, told Maher that the Maersk-APM terms were “off the table”...”

The following typographical errors have come to Maher’s attention in the Proposed Findings of Fact and Supporting Evidence. The corrected paragraphs are reprinted in full in Attachment 1 hereto.

- Page 1, the first paragraph of the Proposed Facts omits the words “on the Brief,” and should read, “Complainant, Maher Terminals, LLC (“Maher”), by and through the undersigned on the Brief. . . ”
- Numbered paragraph (“¶”) 45, first sentence, the second line omits the word “not” and should read, “On July 13, 2007, the Presiding Officer denied PANYNJ’s Motion, finding that the filing exemption does not exempt PANYNJ’s marine terminal operator (“MTO”) lease . . . ”
- ¶ 108, the last line omits the end quotation mark, and should end, “. . . improvements of other types, etc.).”
- ¶ 124, fourth line, the parenthetical uses the word “were” instead of “was” and should read, “(Maher thought proposed lease terms too high, especially because Maher was already paying highest rates at the port at Fleet Street)”
- ¶ 140, first line, the date “March 3, 1998” should be “March 4, 1998”
- ¶ 166, second line, the date “August 14, 2008” should be “August 14, 1998”

- ¶ 203, the first word “On” should be “By”
- ¶ 228, second line, the figure “\$398 million” should be “\$389 million”
- ¶ 257, in the second line, “per yer” should be “per year”
- ¶ 272, the second line contains a misplaced quotation mark and ellipses in the question and answer exchange in the cited deposition transcript and should read: “Lillian Borrone testified that the deal given to SeaLand/Maersk was “a combination of . . . rate structures . . . negotiated . . . with other tenants,” and partially made up for “by increased rates charged to [Maher and] other tenants.””
- ¶ 280, third to last line, the parenthetical to the cited interrogatory question and verified interrogatory response omits two internal quotation marks and should read. “(“[N]o formal, written analyses were created prior to November 2000” showing that “differences in per acre rental rates and escalation terms are fully justified by the differences in the terminals.”)”
- ¶ 356, the first line omits “Safmarine” and should read, “. . . Maersk Line and Safmarine . . .”
- ¶ 398, the second line transposes two numbers, incorrectly referring to “259,085” instead of “295,085,” and contains a math error in the resulting percentage calculation and should read, “. . . between 1999 and 2010, Port Guarantee qualified cargo decreased over 15%, from 349,470 to 295,085 containers.”

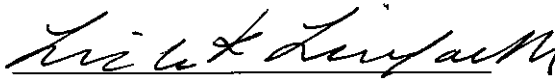
The following supporting evidence was identified and cited in the Proposed Findings of Fact and Supporting Evidence, but the cross-references to page numbers in the Appendix—intended to aid in locating the cited supporting evidence—include the following errors:

- ¶ 19. The aerial photograph at App. 1D-1921 is incorrect. The aerial photograph identified in ¶ 19, taken on August 1, 2007, is attached hereto as Attachment 2.
- ¶¶ 25, 26. The correct Appendix reference to Dep. Ex. 251 is App. 1C-1124.
- ¶ 100. The correct Appendix reference to Dep. Ex. 218 is App. 1A-65.
- ¶ 169. The correct Appendix reference to Dep. Ex. 74 is 1A-492.
- ¶ 247. The page and line references to the testimony of Randal Mosca are correctly cited as pages and lines 142:7-43:14, but the citation should be to pages in the Dkt. 08-03 deposition volume, which were inadvertently omitted and are attached hereto as Attachment 3.
- ¶ 256. The correct Appendix reference to the cited Brian Maher testimony is App. 2C-587.
- ¶ 311. The correct Appendix reference to ¶¶ 40-43, B. Kerr report, is App. 4-114-16.
- ¶ 315. The correct Appendix reference to Dep. Ex. 131 (EP-249) § 7(a)(1) is App. 5A-20-22.
- ¶ 326. The correct citation to the second reference to the Fischel report is ¶ 32, App. 4-316.
- ¶ 375. The citations to PANYNJ's First and Second Set of Interrogatory Responses inadvertently cited response No. 17, but should cite response No. 1 at page 17, which are at App. 3A-433 and 3B-479.

- ¶ 403. The correct citation to the quoted language in the referenced Maersk-APM lease supplement is 08PA00038153 at App. 1D-1541.
- ¶ 489. The correct Appendix reference to the cited testimony of Sam Crane at page and line 57:15-58:3 is App. 2A-109.
- 517. The correct citation to the Kerr report is ¶¶ 6-7, Ex. 4 and 12 at App. 4-3-4, 4-140-141, 4-170.

Dated: October 20, 2011

Respectfully submitted,



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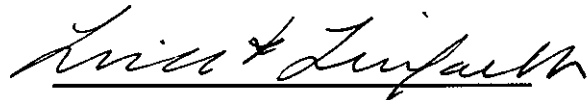
CERTIFICATE OF SERVICE

I hereby certify that I have on this 20th day of October, 2011, served the foregoing via e-mail on the following:

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Attachment 1

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Attachment 1 to Errata

Paragraphs of Proposed Findings of Fact and Supporting Evidence as Corrected

[Opening paragraph]. Complainant, Maher Terminals, LLC (“Maher”), by and through the undersigned on the Brief, hereby files its Proposed Findings of Fact and Supporting Evidence, as directed by the January 11, 2011 Scheduling Order in this proceeding.

45. On July 13, 2007, the Presiding Officer denied PANYNJ’s Motion, finding that the filing exemption does not exempt PANYNJ’s marine terminal operator (“MTO”) lease with Maersk-APM from the obligation to operate in accordance with the terms of the MTO agreement. Mem. and Order on Resp’t Mot. to Dismiss Compl., Dkt. 07-01 (July 13, 2007), App. 3A-32.

108. In the Port Reinvestment Model, Cross-Kelly explained that “[p]lanning for the future . . . means a standard set of rates for each terminal, so that each terminal is equal with all the others, as far as the PA’s role is concerned. Then, where terminals will differ is on the level of service, and the prices that each offers, based on factors under the control of each individual operator (whether these are capital decisions, labor force usage decisions, productivity improvements of other types, etc.).” Dep. Ex. 55, App. 1A-115.

124. Maher informed PANYNJ that it did not view PANYNJ’s proposed rental rates as commercially viable. Dep. Ex. 50, App. 1A-90; Dep. Ex. 290, App. 1A-92; Yetka Dep. at 142:24-44:19, App. 2B-564 (Maher thought proposed lease terms too high, especially because Maher was already paying highest rates at the port at Fleet Street); Schley Dep. at 38:2-:8, App. 2B-457; Borrone Dep. at 221:4-22:1, App. 2A-25.

140. On March 4, 1998, PANYNJ reiterated that “Maher has consistently stated its desire to have rates that will be comparable with competing terminals” and stated that “[i]n our current series of terminal negotiations, we expect to maintain rates that will be comparable among our tenants and that Maher will not be disadvantaged, relative to its competitors, in future lease arrangements.” Dep. Ex. 291, App. 1A-276.

166. Following SeaLand/Maersk’s rejection of the August 14, 1998 offer, the PANYNJ Board directed PANYNJ staff to modify the August 14, 1998 offer to reduce SeaLand/Maersk’s per acre rent. Dep. Ex. 73, App. 1A-489 (rejecting PANYNJ’s August 14, 1998 offer); Dep. Ex. 84, App. 1B-696.

203. By July 30, 1999, Maersk acquired SeaLand. 07-01 Dep. Ex. 14, App. 1B-764.

228. At a Board meeting on May 27, 1999, PANYNJ discussed that the September 21, 1998 proposal to SeaLand/Maersk, which PANYNJ calculated would result in a \$389 million NPV deficit, applied the same concessions for the three terminals with leases up for renewal in the near future—Sea-Land/Maersk, Maher Tripoli Street and Hanjin—but not the two terminals with “a longer term remaining on their lease [because] we would have no legal obligation to provide rent concessions.” Dep. Ex. 86, App. 1B-732; McClafferty Dep. at 208:15-:19, App. 2B-366.

257. PANYNJ reported in August 1999 lease negotiation meeting notes that Maher had informed PANYNJ that Maher had contracts for 600,000 container moves per year, many with long-standing ocean carrier customers of 20 years or more. Dep. Ex. 115, App. 1B-904; Dep. Ex. 201, App. 1B-907; Kerr Rebuttal ¶ 83, App. 4-418; Kerr Report Exhibit 2, App. 4-135.

272. Lillian Borrone testified that the deal given to SeaLand/Maersk was “a combination of . . . rate structures . . . negotiated . . . with other tenants,” and partially made up for “by increased rates charged to [Maher and] other tenants.” Borrone Dep. at 461:7-62:7, App. 2A-56.

280. PANYNJ also did not prepare any formal, fact-specific analysis prior to entering EP-248 and EP-249 showing that the differences in the Maher and Maersk-APM lease terms were justified. Yetka 30(b)(6) Dep. at 324:17-28:7 (PANYNJ never put “pen to paper” to analyze different characteristics of terminals), App. 2B-582-583; Borrone 30(b)(6) Dep. at 64:4-10, App. 2A-8 (“Q: So did The Port Authority ever sit down and put a pen-to-paper and produce a justification for why Maher should pay hundreds of millions of dollars more in base rent than the tenant paid under EP-248? A: Saying that directly, I would say no, we never put pen-to-paper in an explicit statement that said, “This is why Maher should pay a difference.”); PANYNJ Resp. to Maher’s Third Set of Interrogs., Dkt. 08-03, No. 33 (Oct. 8, 2008) (“[N]o formal, written analyses were created prior to November 2000” showing that “differences in per acre rental rates and escalation terms are fully justified by the differences in the terminals.”; Shiftan Dep. at 47:11-48:12, App. 2B-481.

356. The “Port Guarantee” requires that Maersk Line and Safmarine ship 365,000, 440,000, and 515,000 loaded containers through the Port of New Jersey and New York for the first, second, and third port guarantee time periods, respectively. Dep. Ex. 16 (EP-248) § 42(b), App. 5A-347; Kerr Report, Exhibit 2, App. 4-135; Flyer Report ¶ 28, App. 4-186; Fischel Report ¶ 18, App. 4-307; Dep. Ex. 81, App. 1B-581 (Borrone explained that the originally proposed Maersk Line cargo guarantee of 550,000 containers was “set so that it is based slightly below what we

believe Maersk and Sea-Land are using for analytical purposes. Therefore, we don't expect that the guarantee would be viewed as a way to recoup what we are giving up on the basic rent."); Kerr Rebuttal, Exhibit 2, App. 4-441 (Maersk container throughput at APM-Maersk terminal in 1999 was 349,470 containers); 07-01 Dep. Ex. 130, App. 1B-948 (In October 1999, APM-Maersk projected Maersk container throughput at APM-Maersk terminal to be 515,000 in 2015); 08PA02181816, App. 1D-1862-1876 (Maersk-APM email and letter reporting 2010 port guarantee volume comprised of Maersk Line and Safmarine ocean carrier loaded containers).

398. PANYNJ and Maersk-APM data on container throughput at NJMT show that, between 1999 and 2010, Port Guarantee qualified cargo decreased over 15%, from 349,470 to 295,085 containers. Kerr Rebuttal, Exhibit 2, App. 4-441; 08PA02181818, App. 1D-1864.

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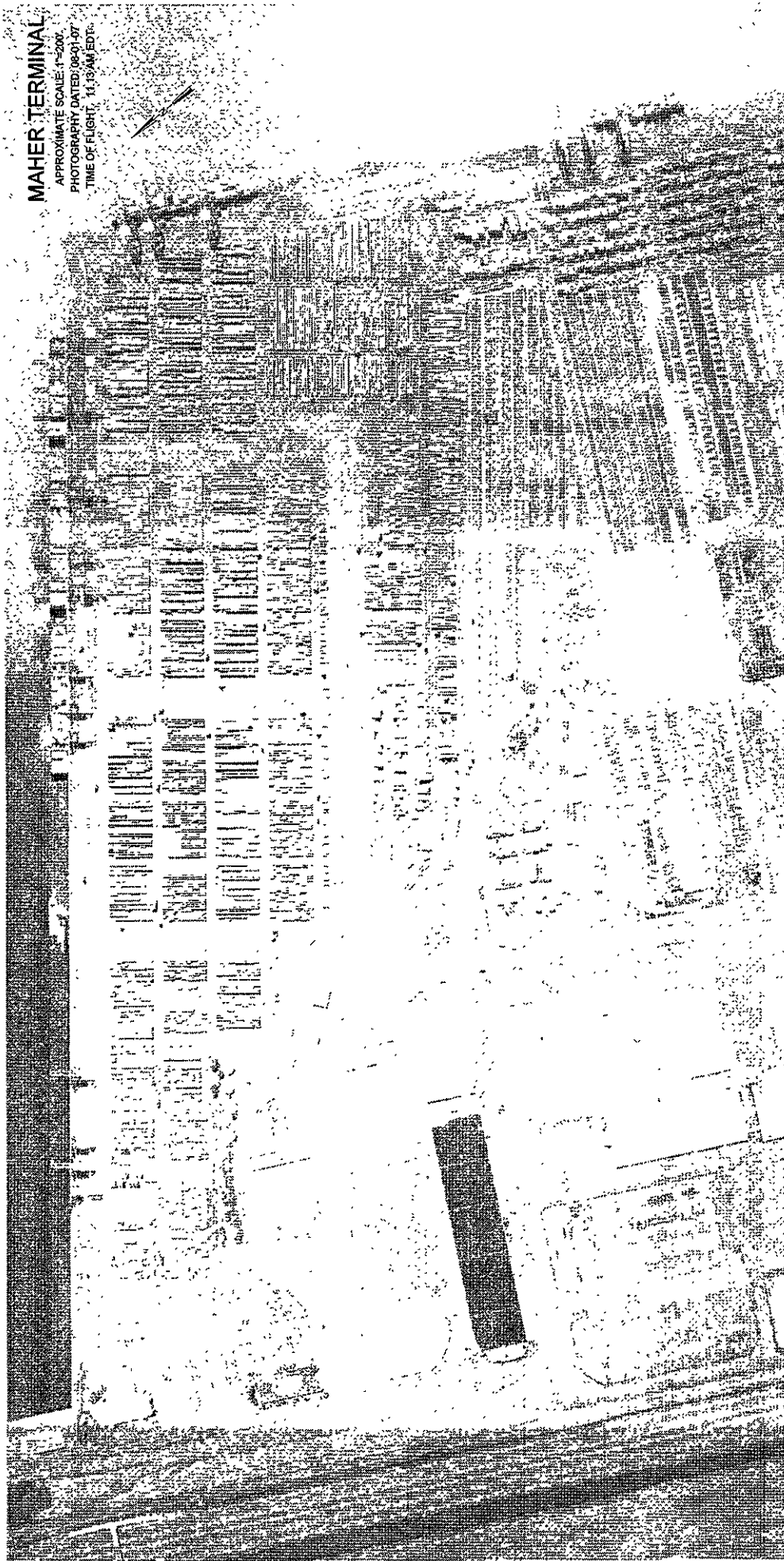
Attachment 2

MAHER TERMINAL

APPROXIMATE SCALE: 1"=200'

PHOTOGRAPHY DATED: 08/01/07

TIME OF FLIGHT: 11:03 AM EDT



Attachment 3

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0001

1 RANDALL MOSCA
 2 BEFORE THE -XSSION
 3 MAHER TERMINALS, LLC, :
 4 Complainant, :
 5 vs. Docket No. 08-03 :
 6 THE PORT AUTHORITY OF NEW YORK :
 7 AND NEW JERSEY, :
 8 Respondent. :
 9 -X

10 March 14, 2011

11 Videotaped deposition of RANDALL P. MOSCA,
 12 held at the offices of Essex Equity Management,
 13 70 South Orange Avenue, Livingston, New Jersey,
 14 commencing at 9:37 a.m. before Jamie I. Moskowitz, a
 15 Registered Professional Reporter and Notary Public.
 16 * * *

0002

A P P E A R A N C E S

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 16 Counsel for Respondent

17 ALSO PRESENT:
 18 HARRIS TERAN
 19 Legal Video Specialist

20
21
22
23
24
25
0003

1 R. Mosca
2 THE VIDEOGRAPHER: Good morning.
3 We're now on the record. My name is Harris
4 Teran of Merrill Legal Solutions, 225 Varick
5 Street, New York, New York 10014. Today is
6 March 14th, 2011. The time is currently
7 9:37 a.m.
8 We're at the offices of Essex Equity,
9 70 South Orange Avenue, in Livingston,
10 New Jersey, to take the videotaped deposition
11 of Mr. Randy Mosca in the matter of Maher
12 Terminals, LLC v. The Port Authority of
13 New York and New Jersey, before the Federal
14 Maritime Commission, Docket Number 08-03.
15 will counsel present please identify
16 themselves for the record.
17 MR. ISAKOFF: Peter Isakoff and Alex
18 Levine of Weil Gotshal & Manges, LLP for the
19 Port Authority.
20 MR. KIERN: Lawrence Kiern for Winston
21 & Strawn, LLP for the deponent and Maher
22 Terminals.
23 THE VIDEOGRAPHER: Our court reporter
24 is Jamie Moskowitz.
25 Ms. Court Reporter, would you please

0004

1 R. Mosca
2 swear in the witness.
3 * * *
4 RANDALL P. MOSCA, after having been
5 first duly sworn, was examined and testified as
6 follows:
7 * * *
8 EXAMINATION BY
9 MR. ISAKOFF:
10 Q State your full name for the record.
11 A Randall P. Mosca.
12 Q Have you ever testified at a
13 deposition, other than in the 0701 case before the
14 Federal Maritime Commission?
15 A Yes.
16 Q On how many occasions?
17 A Approximately three or four times.
18 Q Were any of them connected with Maher
19 Terminals?
20 A I believe so, yes.
21 Q All of them or just some?
22 A Probably most of them.
23 Q What type of case have you testified
24 in, that is unrelated to Maher Terminals?
25 A I just don't recall right now.

0005

1 R. Mosca
2 Q Have you ever been a party yourself in
3 a lawsuit?
4 A No.

23 negotiations with The Port Authority, did The Port
24 Authority tell Maher that one of the reasons that
25 there was a difference in the terms it was providing

0141

1 R. Mosca
2 Maher as compared to the terms it was providing
3 Maersk was because of the Port Authority's need to
4 compete for the Asian market?

5 A No.
6 Q Did The Port Authority tell Maher that
7 one of the reasons for the difference between the
8 terms it extended to Maersk versus Maher was because
9 The Port Authority needed to address competition
10 from the Port of LA/Long Beach?

11 A No.
12 Q Did they tell you that one of the
13 reasons for the differences in the terms extended to
14 Maersk and Maher was because of the need for the
15 port to compete with the Port of Baltimore?

16 A No.
17 Q Did they tell you that one of the
18 reasons for the differences in the terms of the
19 leases between Maersk and Maher was because of The
20 Port Authority's need to compete with the Port of
21 Halifax?

22 A No.
23 Q Did The Port Authority tell Maher
24 during the lease negotiations that one of the
25 reasons for the difference in the lease terms

0142

1 R. Mosca
2 between Maersk and Maher was because of a
3 self-enforcing downward cycle of port business?
4 A I don't know if I understand what that
5 means, but I don't recall any conversation like
6 that.

7 Q Did The Port Authority during the
8 negotiations with Maher explain -- ever explain that
9 one of the reasons for the differences between the
10 terms it would extend to Maersk versus Maher was
11 because the Maher terminal was more valuable than
12 the APM terminal?

13 A No.
14 Q Did The Port Authority ever state to
15 Maher during the negotiations over the lease that
16 one of the reasons that -- for the differences in
17 the terms that it provided to Maersk versus Maher
18 was because of the distance between the berths and
19 the trucks?

20 A No.
21 Q Did The Port Authority ever tell Maher
22 during the lease negotiations that one of the
23 reasons for the differences in the lease terms
24 between Maersk and Maher's lease is because of the
25 linear feet of berth-to-acreage ratio?

0143

1 R. Mosca
2 A No.
3 Q Did The Port Authority ever tell Maher
4 during the lease negotiations that one of the
5 reasons for the differences between the lease terms
6 provided to Maersk and Maher was because Maher had
7 better access to ground transportation?

8 A No.
 9 Q Did The Port Authority ever tell Maher
 10 during the lease negotiations that one of the
 11 reasons for the differences in the terms The Port
 12 Authority extended to Maersk versus Maher was
 13 because in the past Maher had operated express rail?
 14 A No.
 15 Q Did they ever tell Maher that one of
 16 the reasons for the differences in the lease terms
 17 between Maersk and Maher was because of Maher's
 18 operation of express rail from the years 2000 to
 19 2004?
 20 A No.
 21 Q Did The Port Authority ever say that
 22 one of the reasons for the differences in the lease
 23 terms that it provided to Maersk versus Maher was
 24 because The Port Authority had to make more
 25 investment in Maher's leasehold than it had to make

0144

1 R. Mosca
 2 in APM's leasehold?
 3 A No.
 4 Q Did The Port Authority ever tell you
 5 one of the reasons for the differences in the terms
 6 between the lease -- lease terms that it extended to
 7 Maersk versus Maher was because The Port Authority
 8 was forgoing valuable income streams from the
 9 demolished warehouses?
 10 A No.
 11 Q Did The Port Authority ever say that
 12 one of the reasons for the difference between the
 13 terms that it extended to Maersk versus the terms
 14 that it extended to Maher was because the cost to
 15 The Port Authority of maintenance dredging was
 16 greater for Maher than it was for Maersk?
 17 A No.
 18 Q Did The Port Authority ever tell Maher
 19 that its corporate parent was not qualified to
 20 provide a corporate guarantee?
 21 A No.
 22 Q Did The Port Authority ever tell Maher
 23 during the lease negotiations that it considered
 24 Maher to be less creditworthy than Maersk APM?
 25 A No.

0145

1 R. Mosca
 2 Q And during the lease negotiations, in
 3 explaining the differences between the lease terms
 4 that it extended to Maersk as compared to those it
 5 extended to Maher, did The Port Authority ever state
 6 that Maersk APM or APM could not provide a
 7 first-point-of-rest because they were not in the
 8 auto stevedoring business?
 9 A No.
 10 MR. KIERN: No further questions.
 11 MR. ISAKOFF: No redirect.
 12 THE VIDEOGRAPHER: This concludes
 13 today's videotape deposition. The time is
 14 currently 2:08 p.m. This is going to be the
 15 end of tape 2 of 2. Off the record.
 16
 17 (Whereupon, the deposition concluded at
 18 2:08 p.m.)